

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 21-05

MCS INDUSTRIES, INC. v. MSC MEDITERRANEAN SHIPPING COMPANY SA

**COMPLAINANT MCS INDUSTRIES, INC.'S REPLY
TO RESPONDENT MSC MEDITERRANEAN SHIPPING
COMPANY SA'S EXCEPTIONS TO INITIAL DECISION ON REMAND**

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Complainant MCS Industries, Inc. (“Complainant”), by and through its undersigned attorneys, files this reply to MSC Mediterranean Shipping Company SA’s (“Respondent” or “Mediterranean”) March 11, 2024 Exceptions, Dkt. 76 (the “Exceptions”), to the Presiding Officer’s February 16, 2024 Initial Decision on Remand, Dkt. 75 (the “Decision on Remand”).

The Federal Maritime Commission’s (the “Commission”) January 3, 2024 Order Partially Affirming Initial Decision on Default and Remanding for Further Proceedings, Dkt. 68 (the “Commission’s Order”), remanded this action to the Presiding Officer, Chief Administrative Law Judge Erin M. Wirth, on “only two narrow issues”: “(1) whether the delay sanction provision at 46 U.S.C. § 41302(d) is an additional basis to support default in this case and (2) the submission of evidence sufficient to support the claimed reparations.” Jan. 4, 2024 Remand Scheduling Order, Dkt. 69 (the “Scheduling Order”), at 1.

Since the Commission’s Order otherwise denied Respondent’s previously filed exceptions with respect to all other issues, including Respondent’s liability to Complainant, and affirmed the Presiding Officer’s prior decisions in this action, including the Presiding Officer’s January 13, 2023 Initial Decision on Default, Dkt. 64 (the “Initial Decision”), this reply will not address those matters. For the reasons detailed in Complainant’s January 19, 2024 Brief on Remand, Dkt. 71 (the “Brief on Remand”), as well as in the Decision on Remand itself, the Presiding Officer did not err in (1) concluding that Respondent’s undue delays in this action constitute an additional independent basis for default under 46 U.S. Code Section 41302(d) or (2) accepting the written and documentary evidence that Complainant submitted in connection with its Brief on Remand as sufficient to support the award to Complainant of \$861,706.50 in reparations from Respondent, plus interest from July 31, 2021.

INTRODUCTION AND SUMMARY OF ARGUMENT

Respondent's Exceptions recycle baseless and unpersuasive arguments that were raised, and rejected, during prior phases of this action. Respondent once again seeks to recast its disregard for the Rules of Practice and Procedure promulgated under the Shipping Act (the "Rules") and its obdurate refusal to comply with its discovery obligations and the orders of the Presiding Officer in this action as mere "pauses" purportedly necessitated by provisions of foreign law—provisions that the Presiding Officer found, consistent with the decisions of multiple federal courts, to be inapplicable to the circumstances of this action. Respondent then seeks to leverage *its own discovery misconduct*, and the early, unfinished state of discovery in this action (which, again, was substantially due to Respondent's own refusal to comply with its discovery obligations) to challenge the appropriateness of the Presiding Officer's award of reparations to Complainant.

The Commission's review of the Decision on Remand, especially in light of its own reasoning in its prior Order, is simple, and the Commission should affirm the Decision on Remand in its entirety. As with the Presiding Officer's Initial Decision on Default, under the deferential standard of review that the Commission should apply once again here (because the sanctionable "undue delay" in this action was due to Respondent's discovery misconduct), the Commission may overturn the Decision on Remand only if it finds that the Presiding Officer abused her discretion in determining that sanctions were warranted. As the detailed and well-reasoned Decision on Remand demonstrates, the Presiding Officer had more than ample cause to determine that sanctions against Respondent would also be justified by 46 U.S. Code Section 41302(d).

With respect to the amount of reparations awarded in this action, the Decision on Remand was also amply supported by Complainant's Brief on Remand and supporting declaration and exhibits. As the Commission knows, the factual record in this action was largely undeveloped because, as a result of Respondent's refusal to comply with its discovery obligations, the case

never proceeded past initial discovery. Far from abusing her discretion, the Presiding Officer properly awarded Complainant reparations for the excess costs that Complainant had to incur during the terms of its service contracts with Respondent to ship cargo between the port pairs that were supposed to be covered by those service contracts, which were substantiated by both declaration and documentary evidence.

For the reasons stated herein, as well as in the Presiding Officer’s Decision on Remand and Complainant’s Brief on Remand and prior submissions in this case, the Decision on Remand clearly did not constitute an abuse of discretion, but instead was appropriate and correct, and should be affirmed and adopted by the Commission in full as its final decision in this action.

ARGUMENT

A. Standards of Review

Pursuant to 46 C.F.R. Section 502.227(a)(6), “[w]here exceptions are filed to, or the Commission reviews, an initial decision, the Commission, except as it may limit the issues upon notice or by rule, will have all the powers which it would have in making the initial decision.” The Commission generally reviews initial decisions of its Administrative Law Judges *de novo*, adopting their findings of fact and law where “they are well-reasoned and supported by evidence in the record.” *United Logistics (LAX) Inc. – Possible Violations of Sections 10(A)(1) and 10(B)(2)(A) of the Shipping Act of 1984*, FMC Dkt. No. 13-01, 2014 WL 5316339, at *1 (Fed. Mar. Comm’n Feb. 6, 2014) (reviewing administrative law judge’s decision on default). Importantly, however, in the context of reviewing “decisions sanctioning parties’ failure to comply with orders compelling discovery”—once again the context of the Exceptions currently before the Commission in this action after remand—the Commission instead follows the U.S. Courts of Appeals in applying a more deferential “*abuse of discretion standard*” because a narrowly circumscribed scope of review is consistent with district courts’ considerable discretion in

managing discovery and their broad discretion to impose sanctions for discovery violations under Rule 37.” *Muhammad Rana, Complainant, v. Michelle Franklin, D.B.A. “the Right Move,” Inc., Respondents*, FMC Dkt. No. 19-03, 2022 WL 1744905, at *4 (Fed. Mar. Comm’n May 25, 2022) (emphasis added) (quoting *Parsi v. Daiouleslam*, 778 F.3d 116, 125 (D.C. Cir. 2015)) (internal quotations omitted) (affirming discovery sanctions on the respondent for failure to comply with the Presiding Officer’s order directing discovery responses). As detailed herein, the Decision on Remand is well-reasoned and adequately supported under either standard of review.

With respect to the Presiding Officer’s reliance on the declaration and evidence filed in support of Complainant’s Brief on Remand, consistent with 46 C.F.R. Section 502.65, Rule 55 of the Federal Rules of Civil Procedure “does not require a presentation of evidence as a prerequisite to the entry of a default judgment, although it empowers the court to conduct such hearings as it deems necessary and proper to enable it to enter judgment or carry it into effect.” *CMI Distribution, Inc. v. Service By Air, Inc.*, FMC Dkt. No. 17-05, 2019 FMC LEXIS 120 (ALJ May 24, 2019 (quoting *Ford Motor Co. v. Cross*, 441 F. Supp. 2d 837, 848 (E.D. Mich. May 5, 2006))). The Presiding Officer here properly followed the Commission’s Order and 46 C.F.R. Section 502.65, “issu[ing] a decision on default upon consideration of the record, *including the complaint*” and only “requir[ing] additional information or clarification *when needed* to issue a decision on default, including a determination *of the amount of* reparations or civil penalties where applicable.” 46 C.F.R. § 502.65(b)–(c) (emphasis added).

B. Respondent’s Own Discovery Gamesmanship Throughout This Action Undermines Its Claims that the Undue Delays It Caused Were Merely Good-Faith “Pauses” Needed to Accommodate Foreign Law.

Respondent’s Exceptions rehash at length its previously rejected arguments that the extraordinary delays that it caused in this action were merely “pauses” necessary to accommodate a purported Swiss “blocking statute” that Respondent claims would have created “criminal

sanctions”, “criminal liability”, a “criminal penalty”, “criminal jeopardy”, and/or “criminal exposure” for Respondent if it had complied with the Presiding Officer’s December 8, 2021 Order Granting Motion to Compel. Dkt. 76 at 1, 7–18. To the extent the Commission does not disregard such arguments entirely as untimely and duplicative (which it should), the Commission should reject them summarily for the following reasons:

- Respondent’s undue delays of this action began not with its refusal to comply with the Presiding Officer’s December 8, 2021 Order Granting Motion to Compel, Dkt. 27, but instead with its **earlier** discovery misconduct that resulted in Complainant having to file its successful motion to compel in the first place. *See, e.g.*, Dkt. 16 (Complainant’s Oct. 8, 2021 Submission of Disputes Concerning Scope of Initial RFPs) at 2–5.
- Respondent’s undue delays of this action continued throughout the pendency of the action because, consistent with the Presiding Officer’s discussion in her Initial Decision on Default, *see* Dkt. 64 at 9–12, at **any point** during that time Respondent could have **voluntarily** complied with its discovery obligations, but chose not to do so.
- Respondent’s undue delays of this action continued even **after** the Tribunal de première instance in Geneva, Switzerland (the “TPI”)—the designated Central Authority for the Canton of Geneva under the Hague Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters (the “Hague Evidence Convention”)¹—had rejected the Presiding Officer’s Request for International Judicial Assistance pursuant to the Hague Evidence Convention (the “Letter of Request”). *See, e.g.*, Dkt. 55 (Order Denying Respondent’s Motion for an Extension of Time and Order to Show Cause) at 1.
- Respondent’s undue delays of this action also continued **even after** the Presiding Officer correctly concluded, consistent with the decisions of several federal courts, that the claimed Swiss blocking statute at issue **did not apply** in this action because this action involved no threat of criminal sanction against Respondent.² *See* Dkt. 64 (Initial Decision) at 10–12.

¹ *See* Swiss Confederation, *Liste des autorités centrales cantonales pour l'entraide judiciaire en matière civile et commerciale*, <https://www.rhf.admin.ch/rhf/fr/home/zivilrecht/behoerden/zentralbehoerden.html> (identifying the TPI as the central authority for the Canton of Geneva); Swiss Confederation Federal Office of Justice, *International Judicial Assistance in Civil Matters Guidelines* (3d ed. 2003, updated 2013) (the “FOJ Guidelines”), at 21, <https://www.rhf.admin.ch/dam/rhf/en/data/zivilrecht/wegleitungen/wegleitung-zivilsachen-e.pdf> (“The central cantonal authority of the place in which the request is executed is therefore the receiving authority when the application comes from a foreign country. Such applications may, however, be lodged with the FOJ, which will transfer them to the competent central cantonal authority.”).

² Accordingly, Respondent’s discussion of *Cine Forty-Second Street Theatre Corp. v. Allied Artists Pictures Corp.*, 602 F.2d 1062 (2d Cir. 1979), and *Societe Internationale Pour Participations Industrielles et Commerciales, S.A. v. Rogers*, 357 U.S. 197 (1958), is misplaced and irrelevant.

- As reiterated in Complainant’s Brief on Remand, Respondent’s delays in this action were also particularly undue because, at the outset of discovery in this action, Complainant’s counsel specifically raised with Respondent’s counsel the issue of Swiss law, and whether it could interfere with discovery in this action, and Respondent’s counsel stated that it was not aware of any such issues. *See* Dkt. 71 at 3 (citing Dkt. 53 (Complainant’s Opposition to Respondent’s Motion for an Extension of Time) at 1–2; Dkt. 41 (Feb. 28, 2022 Joint Status Report) at 7).

Respondent’s other arguments in this connection are baseless and should also be rejected.

Respondent claims support in legislative history, arguing that the title of the section that later was codified as 46 U.S. Code Section 41302 somehow demonstrates that the sanctions for delay contemplated by that Section were only intended to apply in “Commission investigatory proceedings, not as a penalty in civil complaint actions.” Dkt. 76 (Exceptions) at 13. That argument, however, is belied by the plain language of that very Section, which explicitly contemplates that investigations by the Commission may be “*on complaint* or its own motion”, 46 U.S.C. § 41302(a) (emphasis added), as well as the preceding Section—the Section governing civil complaint actions such as this one—which provides that if such a “complaint is not satisfied, the Commission *shall investigate the complaint* in an appropriate manner and make an appropriate order.” 46 U.S.C. § 41301(c) (emphasis added).

Respondent similarly claims that legislative history reduces the Shipping Act’s deadlines for final decisions to mere targets, *see* Dkt. 76 (Exceptions) at 13, but again, that argument is belied by the fact that the provision governing sanctions for such delays *immediately follows* the provision setting the date for such final decisions. *See* 46 U.S.C. § 41302(c)–(d). It could not be clearer from the statutory structure and text that such deadlines were intended to be taken seriously by parties to proceedings before the Commission—and enforced by precisely the sort of sanctions at issue in this action. While, in practice, decision deadlines are frequently extended for good cause, the delays here were not due to any good cause, but rather to Respondent’s protracted discovery violations and obdurate refusal to comply with orders of the Presiding Officer.

Finally, the mere fact that the parties and the Presiding Officer could not find prior examples of sanctions being imposed pursuant to 46 U.S. Code Section 41302(d) does nothing to undermine the availability or applicability of that statute as an additional basis for the sanctions imposed in this action. Respectfully, the text of that Section is explicit and straightforward: “If, within the period for final decision under subsection (c), the Commission determines that it is unable to issue a final decision because of undue delay caused by a party to the proceeding, the Commission may impose sanctions, including issuing a decision adverse to the delaying party.” 46 U.S. Code Section 41302(d) Neither the Presiding Officer nor the Commission itself needs to rely on exegesis from prior decisions in order to conclude that Respondent’s undue delays in this action fall within the scope of that Section and would justify the imposition of sanctions on the basis of that Section.

C. The Presiding Officer’s Calculation of Reparations Was Justified, Appropriate, and Supported by Competent Evidence in the Context of This Action.

Respondent argues at length that the evidence that Complainant submitted with its Brief on Remand was somehow insufficient to support the Presiding Officer’s reparations award in the Decision on Remand. *See* Dkt. 76 (Exceptions) at 19–25. Much of Respondent’s argument in this connection improperly seeks to relitigate the issue of Respondent’s *liability* for reparations—*see, e.g., id.* at 21 (“Complainant must show that it timely and properly attempted to book the cargo that it claims MSC refused to carry”)—which has already been decided by the Presiding Officer and affirmed by the Commission. *See* Dkt. 68 (Commission’s Order) at 2. The only issue on remand concerning reparations was the calculation of the *amount* of reparations. It is thus not the Decision on Remand, but instead Respondent, that confuses proof of liability with proof of damages, and to that extent, the Commission should disregard Respondent’s arguments as improper, untimely, and duplicative.

If the Commission were to consider Respondent's arguments concerning the already-affirmed determination of liability, however, it should reject Respondent's position and affirm the Presiding Officer's calculation of the amount of reparations. As the Decision on Remand correctly observed, Complainant has "establishe[d] that shipping rate differentials appropriately measures [Complainant's] actual injury and Mediterranean's arguments in opposition are not persuasive." Dkt. 75 at 20. Nor are Respondent's arguments that Complainant "would need to tie each spot shipment to a request . . . to carry that specific shipment" *Id.* As detailed below, there is a clear proximate link between Respondent's Shipping Act violations and the excess ocean freight costs that Complainant had to incur during the terms of the parties' service contracts to ship its cargo between the port pairs that were supposed to be covered by those service contracts.

1. The Evidence that Complainant Submitted with Its Brief on Remand Amply Supports the Presiding Officer's Award of Reparations to Complainant.

The record demonstrates that Complainant submitted adequate, competent evidence supporting the Presiding Officer's calculation and award of reparations. Complainant sought reparations equaling amounts in excess of its service contract rates with Respondent that Complainant had to spend *during the terms of those service contracts* on non-service-contract-based purchases of ocean carriage *in order to ship cargo between port pairs covered by its service contracts with Respondent*. See Dkt. 37 (Verified Am. Compl.) ¶¶ 31, 38, 119–20. Complainant's request for reparations was limited to actual shipments made. The prices for such shipments are fixed and verifiable, and were presented to the Presiding Officer and to Respondent on remand. As the Presiding Officer noted in her Initial Decision, "[t]he amount of reparations sought by MCS Industries is consistent with the request in the amended complaint and is the type of damages appropriate for the claimed violation of the Shipping Act." Dkt. 64 at 23.

The Commission's Order affirmed the appropriateness of the Presiding Officer's reparations award and simply remanded this action "for the submission of evidence sufficient to support" the *amount* of that award. Dkt. 68 at 27–30. To that end, Complainant promptly submitted:

- a declaration from Complainant's Logistics Analyst, verified under penalty of perjury (the "Declaration"), detailing the intent *and* efforts of Complainant and its agent, Expeditors International of Washington, Inc. ("Expeditors"), to use the full amounts of cargo space contemplated by the minimum quantity commitments ("MQCs") in Complainant's 2020 and 2021 service contracts with Respondent; *see* Dkt. 72 (Decl.) ¶¶ 4–12;
- copies of Complainant's 2020 and 2021 service contracts with Respondent and a relevant amendment to the 2020 service contract (collectively, the "Service Contracts"), which included Respondent's rates for ocean freight between the port pairs covered by the Service Contracts; *see id.* Exs. 1–3;³
- a spreadsheet (the "Spreadsheet") listing the details of the shipments of containers of Complainant's cargo that were carried between the port pairs covered by the Service Contracts, respectively, pursuant to arrangements with ocean transportation intermediaries or suppliers (and not pursuant to the Service Contracts or Complainant's service contracts with any other vessel-operating common carrier) in order to meet MCS Industries' ocean shipping needs during the terms of the Service Contracts—i.e., the very time periods in which Respondent was, as alleged in Complainant's Verified Amended Complaint, failing to make cargo space available to Complainant pursuant to the Service Contracts—including the actual ocean freight charges for such carriage, the Service Contracts' rates for such carriage, and the difference between those two rates; *see id.* Ex. 4; and
- the invoices for the shipments listed in the Spreadsheet (the "Invoices"), which reflected the actual ocean freight charged to Complainant for those shipments; *see id.* Ex. 5.

The Declaration, Spreadsheet, and Invoices provide sufficient, competent evidence establishing the relationship between Respondent's failure to provide contracted cargo space during the terms of the Service Contracts and the excess costs that Complainant had to incur *during those same time periods* shipping its cargo *between the port pairs that were supposed to be covered by the Service Contracts*. The shipments identified in Declaration Exhibit 4 are shipments

³ The Presiding Officer previously granted Complainant's motion for confidential treatment of the unredacted versions of the exhibits filed with the Declaration, *see* Decision on Remand at 5, and Complainant subsequently filed redacted public versions of those exhibits pursuant to 46 C.F.R. Section 502.5(a)(2)(ii).

that could (and, in light of Respondent’s conduct, Complainant believes should) have been carried pursuant to the Service Contracts at the rates specified therein in order for Respondent to meet its service commitments to Complainant during the term of those Service Contracts. Because Respondent did not meet its service commitments to Complainant with respect to the port pairs specified in the Service Contracts during the terms of those Service Contracts, Respondent shipped cargo between those port pairs by alternative means at higher rates in order to fulfill its shipping needs. *See id.* ¶ 15 (“In addition to the cargo that MCS Industries was able to ship with Mediterranean during the terms of the 2021 and 2021 Service Contracts, MCS Industries had to seek carriage from other sources, at higher rates, in order to meet its ocean shipping needs.”); *accord id.* ¶¶ 16–19. In this way, and consistent with the allegations of the Verified Amended Complaint in this action, there clearly is a proximate causal link between Respondent’s violations of the Shipping Act and the additional ocean freight costs that Complainant incurred during the terms of the Service Contracts. *See, e.g.*, Dkt. 37 (Verified Am. Compl.) ¶¶ 117–20. Accordingly, Respondent’s discussion of case law regarding the issue of proximate cause, *see* Dkt. 76 (Exceptions) at 20–21 (discussing, *inter alia*, *James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, 30 S.R.R. 8, 13 (Fed. Mar. Comm’n 2003)) is inapposite, and does not require reversal or any further remand for additional evidence or hearings.

2. The Evidence that Respondent Now Demands for Reparations Is Inconsistent with the Nature of Complainant’s Claims and Injury.

Respondent’s demand for even more than this—i.e., “emails, phone calls, or other communications” specifically evidencing each and every occasion on which Respondent failed to provide cargo space for Complainant’s cargo during the terms of the Service Contracts, Dkt. 76 (Exceptions) at 6—not only (once again) intentionally misconstrues the nature of Complainant’s claims in this action, but also brazenly attempts to set up a burden of proof for Complainant that

(1) is utterly inconsistent with the day-to-day realities of ocean shipping (and with how Respondent, in particular, has structured its own business operations, using a network of appointed booking agents instead of having shippers book directly with Respondent), and (2) would purportedly depend on the very categories of documents and communications that Respondent failed to procure and produce in discovery in this action. In so doing, Respondent is effectively seeking to leverage its own discovery misconduct in this action—the very conduct that led to the decision on default against it—to preclude an award of reparations to Complainant for the excess costs that Complainant had to incur.

As the Presiding Officer recognized in her Initial Decision on Default, “the violations alleged in the amended complaint” included the central claim “that one of the largest container lines in the world ‘sought to take advantage of unprecedented high pricing by forcing shippers with service contracts, like Complainant, to resort to spot market purchases’ by the ‘*practice of systematically failing to meet its quantity commitments to Complainant between certain ports.*’” Dkt. 64 at 21–22 (quoting Dkt. 37 (Verified Am. Compl.) at 1–2) (emphasis added). Regarding the nature and scope of discovery associated with Complainant’s claims, the Presiding Officer emphasized in her Order Granting [Complainant’s] Motion to Compel that “MSC Mediterranean Shipping’s practices are at issue, *not just the actions taken on specific bookings*”, and “MCS Industries’ claim *goes beyond these particular bookings to MSC Mediterranean Shipping’s practices . . .*” Dkt. 27 at 6–7, 10 (emphasis added).

The essence of Respondent’s misconduct in this case is not merely that Respondent rejected or cancelled a handful of *specific* bookings or *written* booking requests, but instead that Respondent, *inter alia*, engaged in “*a systematic practice of failing to make space available* under its service contract[s], resulting in mounting monthly shortages.” Dkt. 37 (Verified Am. Compl.)

¶ 27 (emphasis added). Even though Complainant’s agent Expeditors “consistently and diligently attempted to book space for Complainant’s cargo with MSC via MSC’s appointed booking agents”, “when Complainant or its agents actually sought to book the space, Respondent’s booking agents either failed to respond or were unable to secure space.” *Id.* ¶¶ 78, 83; *accord* Dkt. 72 (Decl.) ¶¶ 10–14. “Despite Expeditors’ consistent and diligent attempts to book, and several direct questions and complaints [to Respondent] regarding Respondent’s service failures, Respondent failed to provide adequate responses or correct the underlying issues” and “refused to provide sufficient information to allow Complainant to verify whether Respondent and its agents were properly booking Complainant’s cargo.” *Id.* ¶¶ 82, 85; *accord* Dkt. 72 (Decl.) ¶¶ 10–14.

Respondent’s arguments effectively seek to force Complainant to prove a negative; i.e., somehow to provide *written documentation* of each and every *failure to respond* by Respondent or any of Respondent’s appointed booking agents to any outreach by Complainant or its agent, whether by telephone or other means, about cargo space availability or the lack thereof. Respondent’s arguments also seek to force Complainant to create *post hoc* (and again somehow provide written documentation of) specific, container-by-container connections (e.g., between a particular shipment of cargo and a particular outreach regarding cargo space) that, given the iterative nature and flow of logistics planning and communications, may as a practical matter never have existed, especially in light of Respondent’s continuous practice of failing to make space available to meet its service commitment. Respondent’s demand for a specific, concrete “paper trail” evidencing each and every day in which Respondent was engaged in its unlawful practices is inconsistent not only with the factual reality of the interactions between the parties and their agents, but also with the broader, policy/practice-focused nature of Complainant’s claims (for which Respondent has already been found to be liable to Complainant) and the manner in which

Complainant's injuries—excess ocean freight costs for alternative freight during the terms of the Service Contracts under which Respondent failed to make space available to Complainant—were actually incurred.

3. The Evidence that Respondent Now Demands for Reparations Is the Very Kind of Evidence that Respondent Itself Failed to Procure and Produce in This Action.

Respondent's arguments in this connection are also cynical, in that Respondent now appears to be demanding the very kinds of documents and communications that Respondent itself failed to procure and produce in this action, thereby seeking to reward its own discovery misconduct by depriving Complainant of an award of reparations for that conduct. The reason why the Presiding Officer had to emphasize in her Order Granting Motion to Compel that Respondent's *practices* were at issue was that Respondent refused to produce any documents or communications concerning those practices, instead selectively producing only partial discovery concerning a handful of specific booking requests for which it believed it had excuses for refusing, rejecting, or cancelling. Dkt. 27 at 6–7, 10. Consequently, *Complainant never received a complete, or even substantially complete, document production from Respondent.*

Moreover, Respondent failed to produce any documents and communications from its appointed booking agents, to which the Presiding Officer had previously issued subpoenas to no avail. *See, e.g.*, Dkt. 35 (Jan. 10, 2022 Joint Status Report) at 3, Dkt. 41 (Feb. 28, 2022 Joint Status Report) at 4. As Respondent well knows, day-to-day communications concerning requests for cargo space and attempts to book Complainant's cargo typically were not between Complainant and Respondent, but instead between the parties' respective agents and—to the extent such day-to-day communications left any paper trail, at all, much less one that still exists—such documents

or communications would be in the possession of those agents.⁴ By failing to procure and produce the very documents and communications that it now holds up as indispensable to establishing proximate cause for an award of reparations, Respondent appears to be attempting to set up an impossible standard for Shipping Act claims such as those brought by Complainant, under which a carrier could:

- unilaterally re-cast and narrow a Complainant's claims regarding the carrier's policy or practice of failing to make cargo space available over the term of a service contract to focus instead only on specific, isolated bookings or booking attempts for which the carrier believes it can establish excuses or justifications;
- refuse to produce relevant documents and communications in its own files other than those that it selectively chooses to produce in order to advance its own preferred alternative narrative, even when ordered to do so by the Presiding Officer;
- fail to procure and produce relevant documents and communications from its own agents, even where its contracts with such agents clearly give it the authority to do so;⁵ and then
- claim that such documents and communications are indispensable to establishing proximate cause for an award of reparations, even when such reparations are supported by a declaration and documentary evidence.⁶

⁴ As with Respondent's appointed booking agents, the Presiding Officer also issued a subpoena to Expeditors, which responded by providing documents and communications for production in this action. *See, e.g.*, Dkt. 43 (Apr. 4, 2022 Joint Status Report) at 1; Dkt. 41 (Feb. 28, 2022 Joint Status Report) at 6–7.

⁵ A copy of Respondent's contract with one of its relevant booking agents is attached hereto as Exhibit 1. Contrary to Respondent's suggestion that it "does not control" its booking agents, *see* Dkt. 41 (Feb. 28, 2022 Joint Status Report) at 4, that contract explicitly provides that Respondent's booking agent is required, *inter alia*, "[t]o **comply with any procedures issued from time to time or as amended by MSC and/or [the local MSC entity] and with any other instructions of the MSC [sic] and/or [the local MSC entity]**", "[t]o keep [the local MSC entity] fully informed of its activities under this Agreement and to **provide [the local MSC entity] with regular reports as directed or on request**", and "to **keep all the books and records related to the business with MSC and/or [the local MSC entity] no less than three years** with the original copies at the Booking Agent's own premises, and **allow MSC and [the local MSC entity] to have access at any reasonable time to the Booking Agent's premises for the purpose of inspecting the Booking Agent's books and records and take copies thereof.**" Ex. 1 at clauses 3.1.1(c), 3.1.1(f) & 3.2.3(b) (emphases added).

⁶ *See* Dkt. 72 (Decl.) ¶¶ 6, 9–14 & Exs. 4 & 5. In this respect, Respondent's arguments are somewhat reminiscent of the attempts of another vessel-operating common carrier to include in a settlement of an investigation undertaken by the Commission's Bureau of Enforcement "prescriptive measures which may or may not be reasonable as applied to future litigants"—namely, onerous proposed requirements that "an entity disputing the detention charge [would have] to provide screenshots showing appointment systems for all authorized return locations on the day prior to and the day of the waiver date", which the Presiding Officer in that action posited "may violate the Shipping Act and the interpretive rule on demurrage and detention." *Wan Hai Lines, Ltd. & Wan Hai Lines (USA) Ltd. – Possible Violations of 46 U.S.C. § 41102(c)*, FMC Dkt. No. 21-16, 2022 WL 17830693, at *3, 5 (Fed. Mar. Comm'n Dec. 15, 2022).

Respectfully, the Commission should not permit Respondent to “double down” on its gamesmanship in this way and benefit from its own discovery misconduct. If the Commission were to allow Respondent to escape reparations because of Respondent’s own refusal to abide by the Presiding Officer’s discovery orders, that would create a precedent (or even an incentive) for all respondents to refuse to comply with their discovery obligations under the Commission’s Rules in order to thwart complainants’ claims for reparations for violations of the Shipping Act. The Commission remanded this action to the Presiding Officer to receive evidence substantiating the amount of reparations awarded *as a discovery sanction against Respondent*, and the Presiding Officer did not abuse her discretion in accepting Complainant’s evidence submitted for that purpose or in (re)imposing such a discovery sanction in the form of \$861,706.50 in reparations, plus interest.

CONCLUSION

For the reasons stated above and in the Presiding Officer’s well-reasoned Decision on Remand, Complainant respectfully requests that the Commission reject each of Respondent’s Exceptions and affirm and adopt the Presiding Officer’s Decision on Remand in full.

Dated: April 2, 2024

Respectfully submitted,

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**APPENDIX: RESPONSES TO CERTAIN OF
RESPONDENT’S CLAIMED “FACTS RELEVANT TO THE EXCEPTIONS”**

As with Respondent’s previously filed exceptions to the Initial Decision in this action, Complainant respectfully submits that the procedural history of this case is clear from the filings and orders on the docket, which speak for themselves, and that Respondent’s approximately 10-page purported statement of “FACTS RELEVANT TO THE EXCEPTIONS” in its current Exceptions is neither called for by 46 C.F.R. Section 502.227 nor appropriate given the procedural posture of this case, which as discussed above did not proceed past initial discovery due to Respondent’s refusals to comply with its discovery obligations. Accordingly, Complainant once again rejects and denies Respondent’s purported “FACTS RELEVANT TO THE EXCEPTIONS” in its Exceptions to the extent they are inconsistent with the procedural history reflected on the docket of this case. Complainant also addresses more specifically below several misstatements and omissions therein.

Respondent’s Purported “Fact”	Complainant’s Response
A.6. Complainant has never made any allegations in this proceeding as to any failure to carry for the period after August, 2021 or sought or provided any discovery for that period. Doc. No. 75 at 22.	The Declaration and exhibits filed with Complainant’s Brief on Remand detailed Respondent’s continued cargo space shortfalls during the remainder of the term of the 2021 Service Contract. <i>See</i> Dkt. 72 (Decl.) ¶¶ 13, 18.

Respondent's Purported "Fact"	Complainant's Response
A.7. MSC sought discovery regarding allegations in the amended complaint pertaining to the 2020 OCA and has not received any discovery from Complainant to support these claims. Doc. No. 41 at 4-5.	Complainant was first granted leave to file its Verified Amended Complaint after Respondent had already refused to comply with its discovery obligations and the Presiding Officer's Order Granting Motion to Compel, <i>see</i> Dkt. 35 (Jan. 10, 2022 Joint Status Report) at 2; Dkt. 37 (Feb. 4, 2022 Order on Mot. to Amend Compl. and Mot. to Dismiss); Dkt. 38 (Verified Am. Compl.), and accordingly discovery was never completed in this action prior to the Initial Decision on Default. Although not produced for use in this action, Respondent <i>has</i> received extensive discovery from Complainant concerning the 2020 Service Contract and the parties' dealings during the term thereof in the ongoing retaliatory Society of Maritime Arbitrators arbitration (the "SMA Arbitration") that Respondent initiated against Complainant shortly after the Presiding Officer denied Respondent's motion to dismiss and granted Complainant's motion for leave to file its Verified Amended Complaint in this action.
A.8. Complainant agreed that of the three ports alleged to be at issue in the Complaint and Amended Complaint, Fuzhou, Tianjin, and Qingdao, MSC carried all contracted-for cargo to Fuzhou, and limited its claims to noncarriage between Qingdao and Tianjin from May 2021 to August 2021. <i>See</i> Doc. No. 26, Attachment "Cited Pages from Master Deposition" at 46:12-20 (MCS got "all it wanted" at Fuzhou); <i>id.</i> at 47:4-23 (conceding the full allocation of "three or four [FEUs] a month" was carried at Fuzhou.).	The deposition Respondent cites was taken on November 17, 2021, and the cited testimony related only to May through August 2021, not to any time periods prior or subsequent to those months.

Respondent's Purported "Fact"	Complainant's Response
A.9. Discovery exchanged among the parties has identified only four bookings at Qingdao—one a renewal of a prior booking—from May to July 2021 that Complainant allegedly made and which MSC did not carry. Of those bookings, one was incorrectly made under the wrong contract, one was not received by MSC, one was made too late, and one was made for a sailing that was cancelled and rebooked on another vessel. See Doc. No. 22, Exh. 8 at 1-3.	Respondent only made a partial production in this action before its refusal to comply with its discovery obligations and the Presiding Officer's orders led to the Initial Decision on Default. Accordingly, discovery, including discovery from Respondent's appointed booking agents, was never completed in this action. Complainant's Verified Amended Complaint clearly alleged a course of conduct relating to the entire relationship between the parties during two service contract years, not just to "four bookings at Qingdao".
A.10. At the Qingdao port, 80 percent of Complainant's service contract volume during the period at issue, from May to July 2021, was with carriers other than MSC. See Doc. No. 74, Exh. 3 (correspondence from Complainant to its booking agent, Expeditors, listing Complainant's contracted carriers and allocations with each). Complainant refused to provide discovery as to whether these carriers did or could have carried the cargo Complainant alleges MSC refused to carry, and did not provide any evidence on the point in the remand proceeding before the Chief Administrative Law Judge.	Complainant's service contracts with other carriers had no relevance to the claims in this action, which focused on Respondent's violations of the Shipping Act with respect to Complainant and, upon information and belief, other shippers. Respondent did not raise a discovery dispute with the Presiding Officer regarding the discovery discussed here, and Complainant was never ordered to produce such discovery, on remand or otherwise.

Respondent's Purported "Fact"	Complainant's Response
A.11. Complainant has never claimed there were any issues with carriage of its cargo by MSC after July 2021. <i>See</i> Exh. 3, Master Tr. at 141:7-8 (Complainant's CEO concedes that it has been "getting acceptable service" at Qingdao "since [MCS] filed the lawsuit," at the end of July).	Complainant sought leave to file its Verified Amended Complaint in this action in December 2021, several months before the term of the 2021 Service Contract had elapsed, and consequently that pleading could not have contained allegations concerning Respondent's ultimate failure to meet its service commitments to Complainant during the term of the 2021 Service Contract. Again, the deposition Respondent cites was taken on November 17, 2021, and the cited testimony obviously could not have related to Respondent's conduct subsequent to that date. Moreover, Complainant <i>has</i> claimed continued issues with carriage of its cargo by Respondent after July 2021, both in its Brief on Remand and supporting exhibits in this action, <i>see</i> Dkt. 71 at 5–6; Dkt. 72 (Decl.) ¶ 18 & Exs. 4–5, and in the parallel SMA Arbitration.
C.2. Complainant does not provide evidence through emails, phone calls, or other communications evidencing attempts to book such shipments under contracted-for rates with MSC or with any other contracted-with carrier. <i>Id.</i> at 4-5.	As detailed above, Respondent's demand for such unnecessary evidence is inconsistent with the nature of Complainant's claims and seeks communications that may or may not have occurred with the specificity that Respondent now appears to be demanding, and for which any paper trail that may have existed (or may still exist) would be (or have been) in the possession of Respondent's appointed booking agents, from which Respondent failed to procure and produce discovery despite its clear authority to do so. Respondent's reference to communications "with any other contracted-with carrier" is irrelevant to Complainant's claims and was never the subject of a discovery dispute raised with the Presiding Officer.

Respondent's Purported "Fact"	Complainant's Response
C.4. Complainant provides no evidence that ties the invoices to instances where MSC refused to carry contracted-for cargo. <i>Id.</i> , Exh. 5.	Here again, Respondent is demanding unnecessary evidence that is inconsistent with the nature of Complainant's claims. The shipments for which invoices were provided in Declaration Exhibit 5 were shipments carried during the terms of the parties' Service Contracts and between the port pairs that were supposed to be covered by the Service Contracts, which could have been carried pursuant to the Service Contracts at the rates specified therein in order for Respondent to meet its service commitments to Complainant during the term of those Service Contracts.
C.5. Complainant's evidence relies on the testimony of its logistics analyst, Ms. Brittany Montesano, who discovery confirmed had no involvement with the facts of this case during the entire relevant time period under the 2021 contract. <i>See</i> Doc. No. 71 at 4; Doc. No. 74, Exh. 1 at 21:17-23, 37:20-25, 38:1-8.	As detailed in her Declaration, Ms. Montesano has served as Complainant's Logistics Analyst since 2016, verified Complainant's Verified Amended Complaint in this action, and appropriately made her Declaration in part on the basis of "information received from others". Dkt. 72 (Decl.) ¶¶ 2-3 & at 4. Respondent also appears to be misleadingly referring to the fact that Ms. Montesano was on maternity leave for part of 2021, during which time other employees of Complainant communicated with Respondent and Expeditors. Respondent's assertion that Ms. Montesano was absent for "the entire relevant time period under the 2021 contract" is simply not correct.
D.2. Upon a reasonable search, MSC provided all responsive, non-privileged documents regarding carriage of Complainant's cargo from the ports at issue during this time period. <i>Id.</i> at 4.	Respondent's failure to produce relevant documents, communications, and information responsive to Complainant's appropriate discovery requests in this action was well documented in Complainant's motion to compel, <i>see</i> Dkt. 21, and the Presiding Officer's Order Granting Motion to Compel. <i>See</i> Dkt. 27.

Respondent's Purported "Fact"	Complainant's Response
D.3. MSC objected to further discovery regarding highly sensitive corporate and financial information, which was, at most, minimally related to peripheral issues of the case. <i>Id.</i> at 71-74.	The invalidity of Respondent's objections was also well documented in Complainant's motion to compel, <i>see</i> Dkt. 21, and the Presiding Officer's Order Granting Motion to Compel. <i>See</i> Dkt. 27.
E.1. In a Status Report on December 20, 2021, MSC advised the Chief Administrative Law Judge that the December 8, 2021 Order triggered Article 271 of the Swiss Criminal Code because it compelled discovery through the order of a governmental body. Thus, MSC could not comply with the Motion to Compel without risking a criminal penalty under Swiss law. <i>See</i> Doc. No. 28.	Consistent with the decisions of several federal courts, the Presiding Officer properly rejected Respondent's claim that it could not comply with the Order Granting Motion to Compel. <i>See</i> Dkt. 50 (Order Requiring Production of Discovery) at 1–2); Dkt. 55 (Order Denying Respondent's Motion for an Extension of Time and Order to Show Cause) at 2; Dkt. 64 (Initial Decision) at 9–12.
E.5. Nearly four weeks later, on May 31, 2022, Complainant served the Letter of Request directly on the Geneva Court of First Instance ("TPI"), and not with the FOJ as MSC had advised, without copying MSC and without appropriate explanation of the nature of Commission proceedings and of applicable U.S. law equating Commission proceedings with civil judicial decisions. <i>See</i> Doc. No. 45.	This statement is incorrect. After Complainant had the Letter of Request and the voluminous discovery requests, orders, and other documents attached thereto translated (at its own expense), Complainant properly served the Letter of Request and supporting materials on both the TPI, which, as detailed above, is the designated Central Authority for the Canton of Geneva under the Hague Evidence Convention, and the Swiss Federal Office of Justice ("FOJ"), and provided Respondent with copies of the materials sent to both entities on June 2, 2022. <i>See</i> Dkt. 45 (June 3, 2022 Joint Status Report) at 1.

Respondent's Purported "Fact"	Complainant's Response
E.6. On June 1, 2022, Complainant served the Letter of Request on the FOJ. <i>Id.</i> Due to Switzerland's federal structure, the FOJ was thus prevented from intervening and opining on the issue because, contrary to MSC's advice, the Letter of Request was first served by Complainant to the TPI, despite the advice of MSC's Swiss counsel that it should be directed to the FOJ. Doc. No 43 at 13.	This statement is also incorrect. Complainant sent copies of the Letter of Request and its supporting materials to the FOJ, consistent with Respondent's request and the FOJ's own published Guidelines concerning the Hague Evidence Convention, <i>see</i> FOJ Guidelines at 21 ("The central cantonal authority of the place in which the request is executed is therefore the receiving authority when the application comes from a foreign country. Such applications may, however, be lodged with the FOJ, which will transfer them to the competent central cantonal authority."), <i>on the same day</i> as it sent copies to the TPI. <i>See</i> Dkt. 45 (June 3, 2022 Joint Status Report) at 1. Again, Complainant provided Respondent with copies of the materials submitted to the FOJ on June 2, 2022, and also promptly forwarded Respondent the June 15, 2022 response that Complainant received from the FOJ, which, it should be noted, <i>expressly confirmed that the TPI was, in fact, the competent authority to process the Letter of Request.</i> <i>See</i> Dkt. 48 (July 15, 2022 Joint Status Report) at 8.

Respondent's Purported "Fact"	Complainant's Response
E.7. Complainant has never provided any basis for its four-week delay in preparing and serving the request, or for its decision to cut the FOJ out of the process.	This statement is entirely untrue. Complainant provided a detailed timeline of the time it took to have the Letter of Request and its voluminous attachments translated, and Complainant's transmission of those materials to <i>both</i> the TPI and the FOJ, in the parties' June 3, 2022 Joint Status Report. <i>See</i> Dkt. 45 at 1 ("As required by the Hague Convention, MCS Industries has had Chief Judge Wirth's letter of request and supporting materials translated into French, which translation and certification process was initially completed on May 24, 2022. Thereafter, MCS Industries reviewed the translation for completeness and determined that an additional certification was required, which the translator provided on May 26, 2022. MCS Industries transmitted the English originals and certified translations via mail on May 27, 2022 to both the designated Hague Evidence Convention Central Authority for the canton of Geneva (the Tribunal de première instance), which received them on May 31, 2022, and to the Swiss Federal Office of Justice which received them on June 1, 2022."). Complainant in no way "cut the FOJ out of the process."
E.8. On June 29, 2022, the TPI issued a Decision denying the Letter of Request Pursuant to the Hague Convention on the basis that the request was sought in connection with "an administrative proceeding" and not a civil dispute between private parties, based on the TPI's misunderstanding due to the incomplete information Complainant provided it. The decision did not order MSC to comply with the discovery; nor did it rule that MSC could comply without facing criminal exposure under the Swiss blocking statute. <i>See</i> Doc No. 48 at 3.	Respondent has no basis for claiming that any alleged "misunderstanding" by the TPI was "due to the incomplete information Complainant provided it." To the contrary, the Letter of Request prepared by the parties' counsel and submitted to the Presiding Officer for execution explicitly listed the documents to be included with it, and Complainant did not omit any documents requested to be included by Respondent or required to be included by the Presiding Officer. <i>See</i> Dkt. 43 (Apr. 4, 2022 Joint Status Report attaching proposed Letter of Request); Dkt. 44 (Order Granting Request for Letter of Request under Hague Convention).

Respondent's Purported "Fact"	Complainant's Response
E.18. MSC's Notice of Issuance explained that the FDJP's decision presented an efficient path to resolution. The FDJP clearly and authoritatively stated that "[c]ontrary to the decision of 29th June 2022 of the Geneva Court of First Instance, the case is in fact a civil and commercial matter" and "a request for mutual legal assistance may be re-filed in an improved form" to allow MSC to comply. <i>See</i> Doc. No. 61 at 2.	It is telling that Respondent adds the words "to allow MSC to comply" to the quoted language. Complainant did not understand the FOJ's rejection of Respondent's waiver request with respect to Article 271 of the Swiss Criminal Code or the FDJP's November 7, 2022 decision to confirm in any way that Respondent's claims of actual criminal jeopardy in connection with this action were accurate. Instead, Complainant understood those decisions to relate merely to the possibility of re-submitting the Letter of Request—which the Presiding Officer determined was unnecessary—and the unavailability of any potential waiver until after such re-submission.

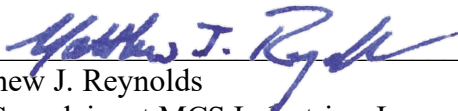
Certificate of Service

I hereby certify that I have this day served the foregoing document and the exhibit thereto upon Respondent MSC Mediterranean Shipping Company SA by emailing copies of those documents to its counsel of record listed below:

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Dated: April 2, 2024



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